**UNITED STATES DISTRICT COURT**

**FOR THE DISTRICT OF COLUMBIA**

**TERRE DU SOLEIL, LTD.**
**d/b/a AUBERGE DU SOLEIL,**
**180 Rutherford Hill Rd,**
**Rutherford, CA 94573**

*Plaintiff,*

**v.**

**UNITED STATES SMALL BUSINESS ADMINISTRATION;**
**KELLY LOEFFLER, in her official capacity as Administrator of the United States Small Business Administration; and**
**UNITED STATES OF AMERICA,**

*Defendants.*

**Civil Action No.:** _____

**COMPLAINT FOR DECLARATORY AND INJUNCTIVE RELIEF AND VACATUR PURSUANT TO THE ADMINISTRATIVE PROCEDURE ACT**

Plaintiff, Terre du Soleil, Ltd. d/b/a Auberge du Soleil ("Auberge"), by and through undersigned counsel, brings this action against the United States Small Business Administration ("SBA"), the Administrator of the SBA, Kelly Loeffler, in her official capacity, and the United States of America (collectively, "Defendants"), and alleges as follows:

## I. NATURE OF THE ACTION

1. This action challenges SBA's attempt to transform a fully awarded, disbursed, and reported $5,000,000 Restaurant Revitalization Fund ("RRF") grant into an immediately collectible federal debt based on a post-award eligibility interpretation that is contrary to the governing statute, inconsistent with the eligibility standard SBA announced to applicants, and unexplained in light of the information SBA possessed when it approved Auberge's application.

2. Congress expressly included an "inn" within the statutory definition of an eligible RRF entity. 15 U.S.C. § 9009c(a)(4). SBA publicly implemented that provision by stating that inns qualified when onsite sales of food and beverage to the public comprised at least 33 percent of gross receipts. *See* U.S. Small Bus. Admin., Restaurant Revitalization Fund Program Guide, Eligibility – Eligible Entities (Apr. 2021); U.S. Small Bus. Admin., Restaurant Revitalization Fund, "Who can apply." Auberge

2. Congress expressly included an "inn" within the statutory definition of an eligible RRF entity. 15 U.S.C. § 9009c(a)(4). SBA publicly implemented that provision by stating that inns qualified when onsite sales of food and beverage to the public comprised at least 33 percent of gross receipts. *See* U.S. Small Bus. Admin., *Restaurant Revitalization Fund Program Guide*, Eligibility—Eligible Entities (Apr. 2021); U.S. Small Bus. Admin., *Restaurant Revitalization Fund*, "Who can apply." Auberge exceeded that announced test: its 2019 food-and-beverage revenue was approximately $14,294,133 out of total revenue of approximately $32,197,328, or approximately 44.4 percent.

3. Auberge disclosed its integrated restaurant-and-lodging business structure during the application process, including that the operations shared a single Employer Identification Number ("EIN"). *See* Exhibit A attached hereto. SBA nevertheless approved the application and disbursed the maximum $5,000,000 award. Auberge then relied on that approval, used the funds for eligible expenses during the covered period, and completed required post-award reporting.

4. *Nearly five years later*, SBA demanded repayment of the entire award, not because Auberge failed the 33-percent test, misused grant proceeds, failed to spend them, concealed its structure, or made a false certification, but because SBA now asserts that a restaurant associated with a hotel or motel must have a separate tax identification number. The RRF statute contains no such separate-EIN requirement for an inn.

5. On or about April 24, 2026, Auberge received a Return of Funds notice from SBA demanding that it return the $5 million RRF grant. The notice provided that Auberge may seek reconsideration of the claw back. *See* Exhibit B attached hereto. Auberge timely sought reconsideration on May 22, 2026 and supplied evidence and legal argument addressing its statutory eligibility, its satisfaction of SBA's announced 33-percent standard, its disclosures, and SBA's prior approval. See Exhibit C attached hereto (without original exhibits included). SBA adhered to the recoupment determination and, on July 9, 2026, advised Auberge that it "cannot reconsider its decision." See Exhibit D attached hereto.

6. While Auberge's timely reconsideration request remained pending, SBA issued a June 16, 2026 debt notice treating the recoupment amount as subject to federal collection. See Exhibit E attached hereto. After SBA issued its July 9 reconsideration response, Auberge filed a debt appeal with SBA's Office of Hearings and Appeals ("OHA") on July 22, 2026. On August 25, 2026, OHA dismissed Auberge's appeal on procedural timeliness grounds, measuring the 15-day appeal period from Auberge's receipt of the June 16 debt notice rather than from SBA's later reconsideration response. See Exhibit F attached hereto (without original exhibits included). OHA did not decide Auberge's RRF eligibility or eligibility, its satisfaction of SBA's announced 33-percent standard, its disclosures, and SBA's

preventing collection. Vacatur is necessary to eliminate the legal consequences of SBA's unlawful determinations rather than merely postpone collection of an asserted debt that should not exist.

7. The administrative process has therefore ended without any merits adjudication of SBA's new eligibility theory. SBA's April 24, 2026 Return of Funds determination and July 9, 2026 reconsideration decision maintaining that determination (collectively, the "Challenged Agency Actions") mark the consummation of SBA's decision-making process; they definitively determine Auberge's asserted repayment obligation and expose Auberge to immediate collection consequences. OHA's later procedural dismissal on August 27 neither reopened nor displaced those final determinations. The Challenged Agency Actions are therefore final agency action reviewable under the Administrative Procedure Act ("APA"), 5 U.S.C. §§ 701–706.

8. Auberge seeks an order holding unlawful and vacating the Challenged Agency Actions; a declaration that SBA lacks authority to collect $5,000,000 as immediately repayable on the asserted grounds; and preliminary and permanent relief preserving the status quo and preventing collection. Vacatur is necessary to eliminate the legal consequences of SBA's unlawful determinations rather than merely postpone collection of an asserted debt that should not exist.

## II. JURISDICTION AND VENUE

9. This Court has subject-matter jurisdiction under 28 U.S.C. § 1331 because this action arises under the APA, 5 U.S.C. §§ 701-706, the American Rescue Plan Act of 2021(establishing the RRF Program), including 15 U.S.C. § 9009c, and federal debt-collection law.

10. The APA authorizes judicial review of final agency action for which there is no other adequate remedy in a court and waives sovereign immunity for claims seeking relief other than money damages. 5 U.S.C. §§ 702, 704. Auberge seeks vacatur, declaratory relief, and prospective equitable relief (e.g., estoppel of any collection activities), not compensatory money damages.

11. The Challenged Agency Actions are final within the meaning of 5 U.S.C. § 704 and *Bennett v. Spear*, 520 U.S. 154, 177–78 (1997) (holding that agency action is final when it marks the consummation of the agency's decision-making process and determines rights or obligations or produces legal consequences). SBA's April 24, 2026 Return of Funds determination, as maintained on July 9, 2026, consummated SBA's decision-making on Auberge's RRF eligibility and repayment obligation, and SBA stated that it could not reconsider the decision. Those determinations impose direct legal consequences by treating $5,000,000 as immediately repayable and subject to federal collection. *See U.S. Army Corps of Engineers v. Hawkes Co.*, 578 U.S. 590, 597–600 (2016) (holding an agency determination final and immediately reviewable where it definitively resolved the agency's position and produced direct and appreciable legal consequences, without requiring the regulated party to await enforcement). OHA's August 27, 2026 procedural dismissal did not adjudicate, alter, or reopen the merits of those determinations.

12. Auberge pursued all of the administrative avenues SBA made available. No further administrative process remains that can provide merits review or suspend the collection consequences of the Challenged Agency Actions, and no other adequate remedy in a court would provide the record-based review and vacatur available under the APA.

13. This Court may grant declaratory relief under 28 U.S.C. §§ 2201-2202 and may postpone the effective date of agency action or preserve status or rights pending judicial review under 5 U.S.C. § 705. The Court also has authority to issue preliminary and permanent injunctive relief under Federal Rule of Civil Procedure 65 and its equitable powers.

14. Venue is proper in this District under 28 U.S.C. § 1391(e)(1) because SBA resides in this District and the challenged federal agency action was taken by an agency headquartered in Washington, D.C.

## III. PARTIES

15. Plaintiff, Terre du Soleil, Ltd., d/b/a Auberge du Soleil, is a California limited partnership that owns and operates a restaurant-centered inn and hospitality business in Rutherford, California.

16. Defendant, United States Small Business Administration, is an agency of the United States charged with administering the RRF program and is responsible for the recoupment, reconsideration, and collection actions challenged here.

17. Defendant, Kelly Loeffler, is the Administrator of SBA and is sued solely in her official capacity.

18. Defendant, United States of America, is named because Auberge seeks declaratory and equitable relief against the United States and its agency.

## IV. FACTUAL ALLEGATIONS

18. Defendant, United States of America, is named because Auberge seeks declaratory and equitable relief against the United States and its agency.

19. Auberge began as a restaurant in 1981 and later added lodging and resort components. Its food-and-beverage operations remain a substantial, public-facing component of the enterprise rather than merely a captive amenity for overnight guests.

20. Congress created the RRF in 2021 to provide grants to eligible food-and-beverage businesses affected by the COVID-19 pandemic. The statutory definition of "eligible entity" expressly includes an "inn." 15 U.S.C. § 9009c(a)(4).

21. In the eligibility guidance SBA published to RRF applicants, SBA stated that "inns" were eligible when onsite sales of food and beverage to the public comprised at least 33 percent of gross receipts. *See* U.S. Small Bus. Admin., *Restaurant Revitalization Fund Program Guide*, Eligibility—Eligible Entities (Apr. 2021); U.S. Small Bus. Admin., *Restaurant Revitalization Fund*, "Who can apply."

22. Auberge satisfied that announced eligibility standard. Its 2019 records reflected approximately $32,197,328 in total revenue and approximately $14,294,133 in food-and-beverage revenue, resulting in food-and-beverage revenue of approximately 44.4 percent of gross receipts. *See* Auberge 2019 financial records submitted to SBA, attached hereto as Exhibit G.

23. In 2021, Auberge applied for an RRF grant. SBA assigned Confirmation ID 889900115444 and SBA Loan/Award No. 9948439003.

24. During the application process, Auberge provided financial and operational information concerning the integrated business. Auberge disclosed that its lodging and restaurant operations operated under a single EIN. SBA did not tell Auberge that this disclosed structure rendered it ineligible as an inn. *See* Auberge RRF application and supporting materials, Confirmation ID 889900115444, SBA Loan/Award No. 9948439003.

25. Relying on Auberge's submissions, SBA approved the application and disbursed $5,000,000. See SBA award and disbursement records for Loan/Award No. 9948439003.

25. After reviewing Auberge's submission, SBA approved the application and disbursed $5,000,000. *See* SBA award and disbursement records for Loan/Award No. 9948439003.

26. The COVID-19 pandemic materially impaired Auberge's operations and revenues, including its substantial public-facing food-and-beverage business. Auberge's RRF application documented pandemic-related revenue loss through the gross-receipts information and supporting financial records required by the program. *See* Auberge RRF application and supporting financial records, Confirmation ID b89900115444, SBA Loan/Award No. 9948439003, attached hereto as Exhibit H.

27. In its application, Auberge certified that then-current economic uncertainty made the requested funding necessary to support its ongoing or anticipated operations. SBA reviewed Auberge's application and supporting financial information, accepted that certification, and approved the award based on the pandemic-related revenue-loss information Auberge submitted. *See* Auberge RRF application and certifications; SBA award and disbursement records for Loan/Award No. 9948439003.

28. In reliance on SBA's approval, Auberge used the RRF proceeds during the covered period for expenses authorized by 15 U.S.C. § 9009c(c)(5) and submitted the required use-of-funds reporting and supporting financial information to SBA. The reported expenditures totaled the full $5,000,000 award and were incurred for authorized expenses within the covered period. *See* Auberge RRF use-of-funds reports and supporting financial records submitted to SBA.

29. SBA does not allege that Auberge failed to sustain pandemic-related revenue loss, lacked economic need when it applied, committed fraud, concealed its integrated structure, made a false certification, misused RRF funds, retained unused funds after the covered period, or failed to satisfy the covered-period spending or reporting requirements. SBA's repayment demand instead rests on its new position concerning Auberge's previously disclosed common EIN. See SBA Return of Funds Letter to Auberge (Apr. 24, 2026), Exhibit B.

30. The RRF program was designed and launched on an exceptionally compressed schedule. Congress enacted the program on March 27, 2021, SBA issued Program Guidance on April 2, 2021, and SBA opened the application portal on May 3, 2021—only five days later. Within the first two days, SBA received more than 186,000 applications, and within the first week it approved more than 16,000 awards totaling over $2 billion. See SBA, Restaurant Revitalization Fund Program Guide (effective Apr. 28, 2021), attached as Exhibit I; SBA, Administrator Announces Initial Results of

of its pre-award controls, and recommended that SBA evaluate and correct those deficiencies and take additional steps to identify potentially fraudulent or ineligible awards. *See* U.S. Gov't Accountability Off., *Restaurant Revitalization Fund: Opportunities Exist to Improve Oversight*, GAO-22-105442 (July 2022), attached as Exhibit N.

33. SBA did not publish a conventional, consolidated agency FAQ addressing recurring substantive eligibility questions before the portal opened. Instead, applicants were directed to a short Program Guide, a sample application, a separate online knowledge base, recorded webinars, and a call center whose staff SBA expressly said were limited in answering specific eligibility questions. Industry associations filled the resulting gap by publishing and repeatedly updating their own FAQs as SBA released new information. Those contemporaneous industry materials repeated the 33-percent gross-receipts test for inns and likewise did not identify a separate-EIN condition for an inn's restaurant operations. *See* SBA, *Restaurant Revitalization Fund*, "Get help with your application"; National Restaurant Association, *Frequently Asked Questions: Restaurant Revitalization Grants* (Apr. 2021).

34. In March 2024, SBA's Office of Inspector General likewise concluded that SBA's implementation plan omitted program requirements, SBA did not always follow its own plan, and the agency lacked sufficient controls to ensure that applicants met statutory and program requirements. The Inspector General estimated that SBA had disbursed nearly $6.7 billion without sufficiently verifying eligibility and expressly recommended that SBA review previously approved awards and recover funds from recipients SBA later determined did not satisfy eligibility requirements or exceeded statutory limits. *See* SBA Office of Inspector General, *SBA's Restaurant Revitalization Fund Program Award Practices*, Report 24-09 (Mar. 26, 2024), attached as Exhibit O. SBA's April 2026 demand against Auberge is the precise type of retrospective award review

34. In March 2024, SBA's Office of Inspector General likewise concluded that SBA's implementation plan omitted program requirements, SBA did not always follow its own plan, and the agency lacked sufficient controls to ensure that applicants met statutory and program requirements. The Inspector General estimated that SBA had disbursed nearly $6.7 billion without sufficiently verifying eligibility and expressly recommended that SBA review previously approved awards and recover funds from recipients SBA later determined did not satisfy eligibility requirements or exceeded statutory limits. See SBA Office of Inspector General, SBA's Restaurant Revitalization Fund Program Audit Report, Report No. 24-09 (Mar. 26, 2024), Exhibit

35. Q. SBA's April 2026 demand against Auberge is the precise type of retrospective award review and recovery action the Inspector General recommended: SBA revisited a grant it had approved and fully disbursed, reclassified the recipient as ineligible, and demanded return of the entire award. But SBA did so without identifying any newly discovered fact, fraud, concealment, misuse, or statutory ineligibility and without explaining why its own acknowledged pre-award control failures warranted imposing a $5,000,000 loss on Auberge.

36. The chronology and asserted basis of SBA's demand connect the agency's acknowledged oversight failures to Auberge's claw back. In 2021, SBA chose a rapid rollout, supplied fragmented guidance, limited applicant-specific answers, reviewed Auberge's disclosed integrated operations and common EIN, approved the award, and accepted Auberge's use-of-funds reporting. In 2022 and 2024, GAO and SBA's Inspector General criticized SBA's eligibility controls, and the Inspector General directed SBA to review completed awards and pursue recovery. In 2026, SBA did exactly that to Auberge but used the same common-EIN fact it possessed before approval as the basis for retroactively declaring the award ineligible. The challenged claw back therefore did not arise from any intervening conduct by Auberge; it arose from SBA's later reexamination of its own earlier approval under a separate-EIN criterion that had not appeared in the statute, the published eligibility list, the inn-specific 33-percent test, or the applicant-facing materials.

37. SBA stated, in substance, that hotels and motels are not eligible entities, that a restaurant within a hotel or motel must possess a separate tax identification number, and that Auberge's common EIN prevented SBA from separating its restaurant operation from its lodging operation for eligibility purposes. *See id.*

37. On April 24, 2026, nearly five years after approving Auberge's application, SBA issued a Return of Funds letter demanding repayment of the entire $5,000,000 award. See SBA Return of Funds Letter to Auberge (Apr. 24, 2026), Exhibit B.

38. SBA stated, in substance, that hotels and motels are not eligible entities, that a restaurant within a hotel or motel must possess a separate tax identification number, and that Auberge's common EIN prevented SBA from separating its restaurant operation from its lodging operation for eligibility purposes. See id.

39. Defendants contend, or have acted on the definitive premise, that Auberge must repay $5,000,000 immediately and that the amount is a valid federal debt subject to collection. The parties' positions are therefore squarely adverse on a dispositive legal question with present consequences: whether SBA may enforce the award as a debt based solely on the separate-EIN theory stated in the Challenged Agency Actions.

40. A declaration that the Challenged Agency Actions do not establish a presently past-due, legally enforceable $5,000,000 debt would conclusively resolve the parties' dispute, eliminate the asserted legal predicate for collection, and redress Auberge's ongoing exposure to offset, referral, accruals, reporting consequences, and business disruption. Declaratory relief is therefore appropriate under 28 U.S.C. §§ 2201–2202 and the APA.

## PRAYER FOR RELIEF

**WHEREFORE**, Auberge respectfully requests that the Court enter judgment in its favor and:

A. Declare that the Challenged Agency Actions are arbitrary, capricious, contrary to law, in excess of statutory authority, without observance of procedure required by law, and otherwise unlawful under 5 U.S.C. § 706(2);

B. Hold unlawful, vacate and set aside the Challenged Agency Actions and all certifications, referrals, offsets, reporting, accruals, or collection measures that depend on them;

C. Declare that, absent a new lawful final determination following any remand, the asserted $5,000,000 obligation is not a presently past-due, legally enforceable debt subject to federal collection;

C. Declare that, absent a new lawful final determination following any remand, the asserted $5,000,000 obligation is not a presently past-due, legally enforceable debt subject to federal collection;

D. Pursuant to 5 U.S.C. § 705 and, in the alternative, Federal Rule of Civil Procedure 65, postpone the effective date and enforcement of the Challenged Agency Actions and preliminarily and permanently enjoin Defendants, pending final judicial review and thereafter as necessary to effectuate the Court's judgment, from certifying or referring the asserted obligation to Treasury or any other collection component, administratively offsetting the asserted debt, reporting it as delinquent, or assessing or collecting interest, penalties, fees, or other collection-related charges based on the asserted $5,000,000 obligation;

E. In the alternative, remand the matter to SBA with vacatur for a new determination consistent with 15 U.S.C. § 9009c, the APA, the complete administrative record, and this Court's judgment, and prohibit collection unless and until SBA issues a new lawful final determination after providing Auberge a meaningful opportunity to be heard;

F. Direct SBA to produce and lodge the complete administrative record, including the materials before SBA when it approved Auberge's application; all versions of applicant-facing RRF eligibility guidance in effect during the application period; internal guidance, instructions, decisional materials, or interpretations concerning the relationship between the statutory "inn" category, the 33-percent food-and-beverage standard, and the provision addressing a restaurant or other entity operating independently "inside another business"; Auberge's reconsideration submissions; materials considered in the 2026 recoupment determination; and the debt-collection and OHA records;

G. Award Auberge its costs and reasonable attorneys' fees to the extent authorized by law; and

H. Expedite merits briefing and review as necessary to permit prompt resolution of the record-based APA claims while interim relief remains in effect; and

G. Award Auberge its costs and reasonable attorneys' fees to the extent authorized by law; and

H. Expedite merits briefing and review as necessary to permit prompt resolution of the record-based APA claims while interim relief remains in effect; and

I. Grant such other and further relief as the Court deems just and proper.

Dated: October __, 2026

Respectfully submitted,

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**PLEASE SERVE SUMMONSES UPON**:

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